

32. Situations Characterized by the Potential for a Widely Divergent Binary Outcome Can Often Provide Excellent Buying Opportunities in Options

Option prices are primarily determined by models that assume that large price movements are unlikely. In circumstances when the fundamentals suggest a significant potential for either a large price gain or a large price loss, option prices often fail to reflect the abnormally large probability of such outsized price movements. Examples of this principle include Greenblatt's option trade in Wells Fargo and Mai's option trade in Capital One.

33. A Stock Can Be Well-Priced Even if It Has Already Gone Up a Lot

Many traders miss participating in the best opportunities because they can't bring themselves to buy a stock or market that has already seen a large upmove. What matters, however, is not how much a stock has gone up, but rather how well a stock is priced relative to its *future* prospects. For example, Taylor's largest holding at the time of our interview, Apple, had already experienced a large price advance—and indeed, this prior large price gain kept many investors from buying the stock, despite its excellent fundamentals. But in Taylor's opinion, the amount of the prior price gain was irrelevant because based on his earnings projections, the stock was still priced cheap.